North American video game crash of 1983

The end of the second generation was foreshowed by the massive recession in the North American video game industry, that went on from 1983 to 1985. Before the crash, revenues had reached a peak of $3.2 billion, which was easily wiped out down to $100 million by the end. The crash led to the bankruptcy of many of the then-booming companies, and made the industry think about the long-term viability of gaming as a whole.

Sales continued to trail for a few years after the crash, and led many to believe that the future of video games was almost non-existent, save for a niche market. However, the release of the Nintendo Entertainment System in the United States helped kickstart sales again and put to rest lingering doubts about the commercial sustainability of such a venture.

Among the reasons that led to this crash, the one major contributing factor was the over-saturation of the market before 1983. As is evident from the description of the consoles released in the second generation, the market was flooded with consoles that provided similar functionalities in terms of processing, graphics and audio capabilities. Titles were similar to Pong and merely provided different versions of it, and other titles were poorly produced and offered nothing new to the consumer, thus causing them to move away and take a break from the market.

Furthermore, the widespread use of personal computers in homes caused many to question the requirement of a separate console with inferior

Game & Watch by Nintendo